

Q1. Why should I opt for new Tax regime?

Ans. Opting for new tax regime allows you to avail a concessional tax rates. However, this benefit is subjected to your taxable income and investment plan.

Q2. What is the new Scheme (New Tax Regime) tax slab?

The Tax Rates under new Scheme will be as follows:

Up to INR 3 Lakh	NIL
INR 3 Lakh to INR 7 Lakh	5%
INR 7 Lakh to INR 10 lakh	10%
INR 10 Lakh to INR 12 Lakh	15%
INR 12 lakh to INR 15 Lakh	20%
Above 15 Lakh	30%

Note: Tax rebate of INR 25000 or tax amount whichever is less is available under New tax regime, if the taxable income is less than INR 7 Lakhs. Further, if the total income of the resident individual (opting section 115BAC(1A)) exceeds INR 7 Lakhs and the tax payable on such income will be the difference between the total income and INR 7 Lakhs, he can claim a rebate with marginal relief to the extent of the difference between the tax payable on such total income and the amount by which it exceeds INR 7 Lakhs.

Q3. When will the new scheme be applicable?

The new Scheme will be applicable from Asst Year 2021-22 (i.e. Financial Year 2020-21). However the tax rates are amended from the financial year 2024-25. The revised tax rates are mentioned in point Q2.

Q4. I was working under Old tax regime in my previous Company and have opted under New Tax regime in the current company. While declaring previous employment income, which amount should I declare? Income before OR After exemptions?

Ans. You should continue to choose the regime which is opted in the Previous Company to keep it uniform throughout the year. In case you wish to change, you can change while filing your tax return.

Please declare,

- Income after Gratuity & Leave encashment exemption plus FBP benefit claimed if any which was not part of tax computation sheet
- Income Tax deducted by previous employer

****PT & PF contributed in previous employment need not be declared as same is not considered for exemption under the new tax regime.**

Q5. I was working under New tax regime in my previous Company and have opted under Old Tax regime in the current company. While declaring previous employment income, which amount should I declare?

Ans. Once old tax regime is opted, you cannot switch to new tax regime once during the year.

Please declare,

- Income after Gratuity & Leave encashment exemption plus FBP benefit claimed if any which was not part of tax computation sheet
- Income Tax deducted by previous employer

Q6. What components of my CTC may get impacted other than Investment Declaration.

Ans. Pay components like HRA / LTA / Uniform Allowance / Books & Periodicals/ Professional Development and Food coupon exemptions will not be provided if you choose a new Tax regime.

Q7. Can I get Gratuity & Leave encashment exemption if I opt for new Tax Regime?

Ans. Yes, gratuity & leave encashment are exempted under the New Tax Regime.

Q8. Can I get exemption for being physically disabled in case I opt for new Tax Regime?

Ans. Exemption under section 80U, which is for self-disability cannot be claimed under New Tax Regime.

Q9. In case I receive Gift, will I still get an exemption for an amount up to Rs.5000?

Ans. Gift in kind up to INR 5,000 in aggregate per annum would be exempt, beyond which it would be taxable

Q10. Will I get a standard deduction of Rs.75000 if I opt for New Tax Regime?

Ans. Yes, As per the new amendment standard deduction of INR 75000 is available under the New Tax regime.

Q11. If I opt for new tax regime, can I declare other income?

Ans. Yes, Other Income as well as Let out property income can be declared in the ITDF/EPSP tool even if you opt for new Tax regime.

Q12. When can I change my declaration from one tax regime to other?

Ans. The employee can choose the New Tax Regime anytime during the year. However once the option is exercised, he cannot switch back to the old Tax Regime with a revised intimation to the employer. A salaried individual can switch between the new and the old tax regime in every financial year

Q13. In case I plan to leave the Company before tool gets enabled again for changing the tax regime. On what basis my taxes will be computed?

Ans. Tax will be computed based on the last tax regime opted by you in the ESS portal.

Q14. What if I declared my investments in ITDF Tool but fail to submit actual proofs at the time of settlement?

Ans. As per the Income Tax amendment 2023, default regime will be treated as New Tax regime in case declaration is not done by the employee, hence tax shall be computed considering based on New tax regime tax slabs. However, at the time of filing the return, you may switch to the old tax regime.

Q15. What if I did not declare any investments in ITDF Tool but have submitted actual proofs at the time of settlement?

Ans. As per the Income Tax amendment 2023, default regime will be treated as New Tax regime in case declaration is not done by the employee, hence investment proofs which are applicable for New Tax Regime will be considered.

Q16. What if I have declared my investment in ITDF Tool but miss to submit investment proofs in the year end?

Ans. The tax regime opted during ITDF declaration submission will be continued in case if miss to submit investment proofs in the year end, hence tax shall be computed considering the Tax regime opted during submission of ITDF.

Q17. What if I did not declare any investment in ITDF Tool but submitted investment proofs in the year end?

Ans. As per the Income Tax amendment 2023, default regime will be treated as New Tax regime in case declaration is not done by the employee. However, while submitting the investment proofs in the EPSF portal, it is mandatory to select the Tax regime. Hence, based on the tax regime selected, applicable proofs will be considered.

Q18. What are the Deductions/ Exemptions that can be claimed under the new tax regime?

- Employer Contribution towards NPS
- Death cum Retirement Gratuity (Govt employees no limit, Other Rs.20 lakhs)
- Leave Encashment on retirement (Govt employees no limit, Other Rs.25 lakhs)
- Standard Deduction of 30% of Rental Income, under House Property head in case of let out property.
- Financial year 2024-25 onwards as per the budget amendment, **Standard Deduction of INR 50000 can be claimed for old regime and 75000 for New Tax regime.**

Q19. Will an employee get an option to change the tax regime during the financial year?

Ans. The employee can submit the proof for the regime that he has selected during the Declaration. In case, if the employee is in default tax regime which is New tax regime. He can choose to switch to OLD tax regime incase if he gets more benefit in the OLD tax regime.

Q20. Will the employee get an option to choose the tax regime during filing of income tax return though he selected a different tax regime with the employer?

Ans. Yes. Employee can choose a tax regime different from the one he has intimated to the employer. This applies to employees who are not having Income from Business and Profession.

Q21. If you are a new joiner in the current financial year joining from a different company, should I declare the same tax regime intimated to my previous employer or can I change it?

Ans. Please continue with the same Tax regime that you have declared with your previous employer.

Q22. Will I get an opportunity to change my tax regime during submission of my investment proofs?

Ans. If the option is not exercised, you can choose the option during Investment Proof submission. Since the tax regime can be opted only once a year, employee must continue with tax regime intimated to the employer and should submit proofs relevant to the tax regime opted.

Q23. Can an employee having income from Business and Profession in addition to Salary income change tax regime every year?

Ans. No. Employee has to continue with the tax regime he/she selected in the financial year 2024-25 in the subsequent years as well till he/she has such an income.

Q24. Will I get 87A rebate if opted for New Tax Regime?

Ans. Yes. From financial year 2024-25 Tax rebate of INR 25000 or tax amount whichever is less is available under New tax regime, if the taxable income is less than INR 7 Lakhs. Further, if the total income of the resident individual who is under the New tax regime exceeds INR 7 Lakhs and the tax payable on such income will be the difference between the total income and INR 7 Lakhs, he can claim a rebate with marginal relief to the extent of the difference between the tax payable on such total income and the amount by which it exceeds INR 7 Lakhs..